



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

HB 2289: truth in taxation; bonds; notices

OLSON FLOOR AMENDMENT

1. Reduces the proposed amount from \$400,000 to \$300,000 for purposes of calculating the tax impact for residential properties in both the informational pamphlets and Truth-in-Taxation notices. (Sec. 1, 2, 3, 4, 5, 6, 7, 8)

OLSON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2289
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-481, Arizona Revised Statutes, is amended to
3 read:

4 15-481. Override election; budget increases; informational
5 pamphlet; notice; ballot; effect

6 A. If a proposed budget of a school district exceeds the aggregate
7 budget limit for the budget year, at least ninety days before the proposed
8 election the governing board shall order an override election to be held
9 on the first Tuesday following the first Monday in November as prescribed
10 by section 16-204, subsection F for the purpose of presenting the proposed
11 budget to the qualified electors of the school district who by a majority
12 of those voting either shall affirm or reject the budget. At the same
13 time as the order of the election, the governing board shall publicly
14 declare the deadline for submitting arguments, as set by the county school
15 superintendent pursuant to subsection B, paragraph 9 of this section, to
16 be submitted in the informational pamphlet and shall immediately post the
17 deadline in a prominent location on the district's website. In addition,
18 the governing board shall prepare an alternate budget that does not
19 include an increase in the budget of more than the amount allowed as
20 provided in section 15-905. If the qualified electors approve the
21 proposed budget, the governing board of the school district shall follow
22 the procedures prescribed in section 15-905 for adopting a budget that
23 includes the authorized increase. If the qualified electors disapprove
24 the proposed budget, the governing board shall follow the procedures
25 prescribed in section 15-905 for adopting a budget that does not include
26 the proposed increase or the portion of the proposed increase that exceeds
27 the amount authorized by a previously approved budget increase as
28 prescribed in subsection P of this section.

1 B. The county school superintendent shall prepare an informational
2 pamphlet on the proposed increase in the budget and a sample ballot and,
3 at least forty days before the election, shall transmit the informational
4 pamphlet and the sample ballot to the governing board of the school
5 district. The governing board, on receipt of the informational pamphlet
6 and the ballot, shall mail or distribute the informational pamphlet and
7 the ballot to the households in which qualified electors reside within the
8 school district at least thirty-five days before the election. Any
9 distribution of material concerning the proposed increase in the budget
10 shall not be conducted by children enrolled in the school district. The
11 informational pamphlet shall contain the following information:

12 1. The date of the election.

13 2. The voter's polling place and the times it is open.

14 3. The proposed total increase in the budget that exceeds the
15 amount allowed pursuant to section 15-905.

16 4. The total amount of the current year's budget, the total amount
17 of the proposed budget and the total amount of the alternate budget.

18 5. If the override is for a period of more than one year, a
19 statement indicating the number of years the proposed increase in the
20 budget would be in effect and the percentage of the school district's
21 revenue control limit that the district is requesting for the future
22 years.

23 6. The proposed total amount of revenues that will fund the
24 increase in the budget and the amount that will be obtained from a levy of
25 taxes on the taxable property within the school district for the first
26 year for which the budget increase was adopted.

27 7. The proposed amount of revenues that will fund the increase in
28 the budget and that will be obtained from other than a levy of taxes on
29 the taxable property within the school district for the first year for
30 which the budget increase was adopted.

31 8. The dollar amount and the purpose for which the proposed
32 increase in the budget is to be expended for the first year for which the
33 budget increase was adopted. The purpose statement shall only present
34 factual information in a neutral manner. Advocacy for the expenditures is
35 strictly limited to the arguments submitted pursuant to paragraph 9 of
36 this subsection.

37 9. At least two arguments, if submitted, but not more than ten
38 arguments for and two arguments, if submitted, but not more than ten
39 arguments against the proposed increase in the budget. The arguments
40 shall be in a form prescribed by the county school superintendent, and
41 each argument shall not exceed two hundred words. Arguments for the
42 proposed increase in the budget shall be provided in writing and signed by
43 the governing board. The ballot arguments for the proposed increase in
44 the budget shall be signed as the governing board of the school district
45 without listing any member's individual name for the arguments for the
46 proposed increase. If submitted, additional arguments in favor of the
47 proposed increase in the budget shall be provided in writing with a

1 signed, sworn statement by those in favor. Arguments against the proposed
2 increase in the budget shall be provided in writing with a signed, sworn
3 statement by those in opposition. If the argument is submitted by an
4 organization, it shall contain the sworn statement of two executive
5 officers of the organization. If the argument is submitted by a political
6 committee, it shall contain the sworn statement of the committee's
7 chairperson or treasurer. If the argument is submitted by an individual
8 and not on behalf of an organization, a political committee or any other
9 group, the ~~person~~ INDIVIDUAL shall submit the argument with a sworn,
10 notarized statement. The names of persons and entities submitting written
11 arguments shall be included in the informational pamphlet. Persons
12 signing the argument shall identify themselves by giving their residence
13 address and telephone number, which may not appear in the informational
14 pamphlet, except that the person's city or town and state of residence
15 shall appear in the pamphlet. Any argument that is submitted and that
16 does not comply with this paragraph may not be included in the pamphlet.
17 The county school superintendent shall review all factual statements
18 contained in the written arguments and correct any inaccurate statements
19 of fact. The superintendent shall not review and correct any portion of
20 the written arguments that are identified as statements of the author's
21 opinion. The county school superintendent shall make the written
22 arguments available to the public as provided in title 39, chapter 1,
23 article 2. A deadline for submitting arguments to be included in the
24 informational pamphlet shall be set by the county school superintendent.

25 10. A statement that the alternate budget shall be adopted by the
26 governing board if the proposed budget is not adopted by the qualified
27 electors of the school district.

28 11. The current limited property value and the net assessed
29 valuation provided by the department of revenue, the first year tax rate
30 for the proposed override and the estimated amount of the secondary
31 property taxes if the proposed budget is adopted for each of the
32 following:

33 (a) An owner-occupied residence whose assessed valuation is the
34 average assessed valuation of property classified as class three, as
35 prescribed by section 42-12003 for the current year in the school
36 district.

37 (b) An owner-occupied residence whose assessed valuation is
38 one-half of the assessed valuation of the residence in subdivision (a) of
39 this paragraph.

40 (c) An owner-occupied residence whose assessed valuation is twice
41 the assessed valuation of the residence in subdivision (a) of this
42 paragraph.

43 (d) A business whose assessed valuation is the average of the
44 assessed valuation of property classified as class one, as prescribed by
45 section 42-12001, paragraphs 12 and 13 for the current year in the school
46 district.

1 12. If the election is conducted pursuant to subsection L or M of
2 this section, the following information:

3 (a) An executive summary of the school district's most recent
4 capital improvement plan submitted to the school facilities oversight
5 board.

6 (b) A complete list of each proposed capital improvement that will
7 be funded with the budget increase and a description of the proposed cost
8 of each improvement, including a separate aggregation of capital
9 improvements for administrative purposes as defined by the school
10 facilities oversight board.

11 (c) The tax rate associated with each of the proposed capital
12 improvements and the estimated cost of each capital improvement for the
13 owner of a single family home that is valued at ~~\$80,000~~ \$100,000
14 AND ~~[\$400,000]~~ [\$300,000].

15 C. For the purpose of this section, the school district may use its
16 staff, equipment, materials, buildings or other resources only to
17 distribute the informational pamphlet at the school district office or at
18 public hearings and to produce such information as required in subsection
19 B of this section. This subsection does not preclude school districts
20 from holding or participating in any public hearings at which testimony is
21 given by at least one person for the proposed increase and one person
22 against the proposed increase. Any written information provided by the
23 district pertaining to the override election shall include financial
24 information showing the estimated first year tax rate for the proposed
25 budget override amount.

26 D. If any amount of the proposed increase will be funded by a levy
27 of taxes in the district, the election prescribed in subsection A of this
28 section shall be held on the first Tuesday following the first Monday in
29 November as prescribed by section 16-204, subsection F. If the proposed
30 increase will be fully funded by revenues from other than a levy of taxes,
31 the elections prescribed in subsection A of this section shall be held on
32 any date prescribed by section 16-204. The elections shall be conducted
33 as nearly as practicable in the manner prescribed in article 1 of this
34 chapter, sections 15-422, ~~through~~ 15-423, 15-424 and ~~section~~ 15-426,
35 relating to special elections, except that:

36 1. The notices required pursuant to section 15-403 shall be posted
37 not less than twenty-five days before the election.

38 2. Ballots shall be counted pursuant to title 16, chapter 4,
39 article 10.

40 E. If the election is to exceed the revenue control limit and if
41 the proposed increase will be fully funded by a levy of taxes on the
42 taxable property within the school district, the ballot shall contain the
43 words "budget increase, yes" and "budget increase, no", and the voter
44 shall signify the voter's desired choice. The ballot shall also contain
45 the amount of the proposed increase of the proposed budget over the
46 alternate budget, a statement that the amount of the proposed increase
47 will be based on a percentage of the school district's revenue control

1 limit in future years, if applicable, as provided in subsection P of this
2 section and the following statement:

3 Any budget increase authorized by this election shall be
4 entirely funded by a levy of taxes on the taxable property
5 within this school district for the year for which adopted and
6 for ____ subsequent years, shall not be realized from monies
7 furnished by the state and shall not be subject to the
8 limitation on taxes specified in article IX, section 18,
9 Constitution of Arizona. Based on the current net assessed
10 valuation used for secondary property tax purposes, to fund
11 the proposed increase in the school district's budget would
12 require an estimated tax rate of \$_____ per \$100 of
13 net assessed valuation used for secondary property tax
14 purposes and is in addition to the school district's tax rate
15 that will be levied to fund the school district's revenue
16 control limit allowed by law.

17 F. If the election is to exceed the revenue control limit and if
18 the proposed increase will be fully funded by revenues from other than a
19 levy of taxes on the taxable property within the school district, the
20 ballot shall contain the words "budget increase, yes" and "budget
21 increase, no", and the voter shall signify the voter's desired choice.
22 The ballot shall also contain:

23 1. The amount of the proposed increase of the proposed budget over
24 the alternate budget.

25 2. A statement that the amount of the proposed increase will be
26 based on a percentage of the school district's revenue control limit in
27 future years, if applicable, as provided in subsection P of this section.

28 3. The following statement:

29 Any budget increase authorized by this election shall be
30 entirely funded by this school district with revenues from
31 other than a levy of taxes on the taxable property within the
32 school district for the year for which adopted and for ____
33 subsequent years and shall not be realized from monies
34 furnished by the state.

35 G. Except as provided in subsection H of this section, the maximum
36 budget increase that may be requested and authorized as provided in
37 subsection E or F of this section or the combination of subsections E and
38 F of this section is fifteen percent of the revenue control limit as
39 provided in section 15-947, subsection A for the budget year. If a school
40 district requests an override pursuant to section 15-482 or to continue
41 with a budget override pursuant to section 15-482 for pupils in
42 kindergarten programs and grades one through three that was authorized
43 before December 31, 2008, the maximum budget increase that may be
44 requested and authorized as provided in subsection E or F of this section
45 or the combination of subsections E and F of this section is ten percent
46 of the revenue control limit as provided in section 15-947, subsection A
47 for the budget year.

H. Special budget override provisions for school districts with a student count of less than one hundred fifty-four in kindergarten programs and grades one through eight or with a student count of less than one hundred seventy-six in grades nine through twelve are as follows:

1. The maximum budget increase that may be requested and authorized as provided in subsections E and F of this section is the greater of the amount prescribed in subsection G of this section or a limit computed as follows:

(a) For common or unified districts with a student count of less than one hundred fifty-four in kindergarten programs and grades one through eight, the limit computed as prescribed in item (i) or (ii) of this subdivision, whichever is appropriate:

(i)

Student Count	Small School Student Count Limit	Support Level Weight for Small Isolated School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>125</u>	x	$1.358 + (0.0005 \times (500 - \text{Student Count}))$	x <u>\$ </u> = <u>\$ </u>
	Phase Down Base	Phase Down Reduction Factor	Small Isolated School District Elementary Limit
	<u>\$150,000</u>	- <u>\$ </u>	= <u>\$ </u>

(ii)

Student Count	Small School Student Count Limit	Support Level Weight for Small School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>125</u>	x	$1.278 + (0.0003 \times (500 - \text{Student Count}))$	x <u>\$ </u> = <u>\$ </u>
	Phase Down Base	Phase Down Reduction Factor	Small School District Elementary Limit
	<u>\$150,000</u>	- <u>\$ </u>	= <u>\$ </u>

(b) For unified or union high school districts with a student count of less than one hundred seventy-six in grades nine through twelve, the limit computed as prescribed in item (i) or (ii) of this subdivision, whichever is appropriate:

(i)

Student Count	Small School Student Count Limit	Support Level Weight for Small Isolated School Districts	Phase Down Reduction Factor
<u> </u>	<u> </u>	<u> </u>	<u> </u>
<u> </u> - <u>100</u>	x	$1.468 + (0.0005 \times (500 - \text{Student Count}))$	x <u>\$ </u> = <u>\$ </u>
	Phase Down Base	Phase Down Reduction Factor	Small Isolated District Secondary Limit
	<u>\$350,000</u>	- <u>\$ </u>	= <u>\$ </u>

1	(ii)				
2		Small School	Support Level Weight		Phase Down
3	Student	Student	for Small		Reduction
4	<u>Count</u>	<u>Count Limit</u>	<u>School Districts</u>	<u>Base Level</u>	<u>Factor</u>
5	<u> </u>	<u> 100 </u>	<u>1.398 + (0.0004 x</u>	<u>x \$ </u>	<u>= \$ </u>
6			<u>(500 - Student Count))</u>		
7				Small	
8		Phase Down	Phase Down	School District	
9		<u>Base</u>	<u>Reduction Factor</u>	<u>Secondary Limit</u>	
10		<u>\$350,000</u>	<u>- \$ </u>	<u>= \$ </u>	

11 (c) If both subdivisions (a) and (b) of this paragraph apply to a
 12 unified school district, its limit for the purposes of this paragraph is
 13 the combination of its elementary limit and its secondary limit.

14 (d) If only subdivision (a) or (b) of this paragraph applies to a
 15 unified school district, the district's limit for the purposes of this
 16 paragraph is the sum of the limit computed as provided in subdivision (a)
 17 or (b) of this paragraph plus ten percent of the revenue control limit
 18 attributable to those grade levels that do not meet the eligibility
 19 requirements of this subsection. If a school district budgets monies
 20 outside the revenue control limit pursuant to section 15-949, subsection
 21 E, the district's limit for the purposes of this paragraph is only the ten
 22 percent of the revenue control limit attributable to those grade levels
 23 that are not included under section 15-949, subsection E. For the
 24 purposes of this subdivision, the revenue control limit is separated into
 25 elementary and secondary components based on the weighted student count as
 26 provided in section 15-971, subsection B, paragraph 2, subdivision (a).

27 2. If a school district utilizes this subsection to request an
 28 override of more than one year, the ballot shall include an estimate of
 29 the amount of the proposed increase in the future years in place of the
 30 statement that the amount of the proposed increase will be based on a
 31 percentage of the school district's revenue control limit in future years,
 32 as prescribed in subsections E and F of this section.

33 3. Notwithstanding subsection P of this section, the maximum period
 34 of an override authorized pursuant to this subsection is five years.

35 4. Subsection P, paragraphs 1 and 2 of this section do not apply to
 36 overrides authorized pursuant to this subsection.

37 I. If the election is to exceed the revenue control limit as
 38 provided in section 15-482 and if the proposed increase will be fully
 39 funded by a levy of taxes on the taxable property within the school
 40 district, the ballot shall contain the words "budget increase, yes" and
 41 "budget increase, no", and the voter shall signify the voter's desired
 42 choice. The ballot shall also contain the amount of the proposed increase
 43 of the budget over the alternate budget, a statement that the amount of
 44 the proposed increase will be based on a percentage of the school
 45 district's revenue control limit in future years, if applicable, as
 46 provided in subsection Q of this section, and the following statement:

1 Any budget increase authorized by this election shall be
2 entirely funded by a levy of taxes on the taxable property
3 within this school district for the year for which adopted and
4 for _____ subsequent years, shall not be realized from monies
5 furnished by the state and shall not be subject to the
6 limitation on taxes specified in article IX, section 18,
7 Constitution of Arizona. Based on the current net assessed
8 valuation used for secondary property tax purposes, to fund
9 the proposed increase in the school district's budget that
10 will be funded by a levy of taxes on the taxable property
11 within this school district would require an estimated tax
12 rate of \$_____ per \$100 of net assessed valuation used
13 for secondary property tax purposes and is in addition to the
14 school district's tax rate that will be levied to fund the
15 school district's revenue control limit allowed by law.

16 J. If the election is to exceed the revenue control limit as
17 provided in section 15-482 and if the proposed increase will be fully
18 funded by revenues other than a levy of taxes on the taxable property
19 within the school district, the ballot shall contain the words "budget
20 increase, yes" and "budget increase, no", and the voter shall signify the
21 voter's desired choice. The ballot shall also contain the amount of the
22 proposed increase of the proposed budget over the alternate budget, a
23 statement that the amount of the proposed increase will be based on a
24 percentage of the school district's revenue control limit in future years,
25 if applicable, as provided in subsection Q of this section and the
26 following statement:

27 Any budget increase authorized by this election shall be
28 entirely funded by this school district with revenues from
29 other than a levy of taxes on the taxable property within the
30 school district for the year for which adopted and for _____
31 subsequent years and shall not be realized from monies
32 furnished by the state.

33 K. The maximum budget increase that may be requested and authorized
34 as provided in subsection I or J of this section, or a combination of both
35 of these subsections, is five percent of the revenue control limit as
36 provided in section 15-947, subsection A for the budget year. For a
37 common school district not within a high school district or a common
38 school district within a high school district that offers instruction in
39 high school subjects as provided in section 15-447, five percent of the
40 revenue control limit means five percent of the revenue control limit
41 attributable to the weighted student count in preschool programs for
42 children with disabilities, kindergarten programs and grades one through
43 eight as provided in section 15-971, subsection B. For a unified school
44 district, five percent of the revenue control limit means five percent of
45 the revenue control limit attributable to the weighted student count in
46 preschool programs for children with disabilities, kindergarten programs
47 and grades one through twelve. For a union high school district, five

1 percent of the revenue control limit means five percent of the revenue
2 control limit attributable to the weighted student count in grades nine
3 through twelve.

4 L. If the election is to exceed district additional assistance and
5 if the proposed increase will be fully funded by a levy of taxes on the
6 taxable property within the school district, the ballot shall contain the
7 words "budget increase, yes" and "budget increase, no", and the voter
8 shall signify the voter's desired choice. An election held pursuant to
9 this subsection shall be held on the first Tuesday after the first Monday
10 of November. The ballot shall also contain the amount of the proposed
11 increase of the proposed budget over the alternate budget and the
12 following statement:

13 Any budget increase authorized by this election shall be
14 entirely funded by a levy of taxes on the taxable property
15 within this school district for the year in which adopted and
16 for _____ subsequent years, shall not be realized from monies
17 furnished by the state and shall not be subject to the
18 limitation on taxes specified in article IX, section 18,
19 Constitution of Arizona. Based on the current net assessed
20 valuation used for secondary property tax purposes, to fund
21 the proposed increase in the school district's budget would
22 require an estimated tax rate of \$_____ per \$100 of net
23 assessed valuation used for secondary property tax purposes
24 and is in addition to the school district's tax rate that will
25 be levied to fund the school district's district additional
26 assistance allowed by law.

27 M. If the election is to exceed district additional assistance and
28 if the proposed increase will be fully funded by revenues from other than
29 a levy of taxes on the taxable property within the school district, the
30 ballot shall contain the words "budget increase, yes" and "budget
31 increase, no", and the voter shall signify the voter's desired choice. An
32 election held pursuant to this subsection shall be held on the first
33 Tuesday after the first Monday of November. The ballot shall also contain
34 the amount of the proposed increase of the proposed budget over the
35 alternate budget and the following statement:

36 Any budget increase authorized by this election shall be
37 entirely funded by this school district with revenues from
38 other than a levy of taxes on the taxable property within the
39 school district for the year in which adopted and for _____
40 subsequent years and shall not be realized from monies
41 furnished by the state.

42 N. If the election is to exceed a combination of the revenue
43 control limit as provided in subsection E or F of this section, the
44 revenue control limit as provided in subsection I or J of this section or
45 district additional assistance as provided in subsection L or M of this
46 section, the ballot shall be prepared so that the voters may vote on each

1 proposed increase separately and shall contain statements required in the
2 same manner as if each proposed increase were submitted separately.

3 O. If the election provides for a levy of taxes on the taxable
4 property within the school district, at least thirty days before the
5 election, the department of revenue shall provide the school district
6 governing board and the county school superintendent with the current net
7 assessed valuation of the school district. The governing board and the
8 county school superintendent shall use the current net assessed valuation
9 of the school district to translate the amount of the proposed dollar
10 increase in the budget of the school district over that allowed by law
11 into a tax rate figure.

12 P. If the voters in a school district vote to adopt a budget in
13 excess of the revenue control limit as provided in subsection E or F of
14 this section, any additional increase shall be included in the aggregate
15 budget limit for each of the years authorized. Any additional increase
16 shall be excluded from the determination of equalization assistance. The
17 school district governing board, however, may levy on the net assessed
18 valuation used for secondary property tax purposes of the property in the
19 school district the additional increase if adopted under subsection E of
20 this section for the period of one year, two years or five through seven
21 years as authorized. If an additional increase is approved as provided in
22 subsection F of this section, the school district governing board may only
23 use revenues derived from the school district's prior year's maintenance
24 and operation fund ending cash balance to fund the additional increase.
25 If a budget increase was previously authorized and will be in effect for
26 the budget year or budget year and subsequent years, as provided in
27 subsection E or F of this section, the governing board may request a new
28 budget increase as provided in the same subsection under which the prior
29 budget increase was adopted, which shall not exceed the maximum amount
30 allowed under subsection G of this section. If the voters in the school
31 district authorize the new budget increase amount, the existing budget
32 increase no longer is in effect. If the voters in the school district do
33 not authorize the budget increase amount, the existing budget increase
34 remains in effect for the time period for which it was authorized. The
35 maximum additional increase authorized as provided in subsection E or F of
36 this section and the additional increase that is included in the aggregate
37 budget limit is based on a percentage of a school district's revenue
38 control limit in future years, if the budget increase is authorized for
39 more than one year. If the additional increase:

40 1. Is for two years, the proposed increase in the second year is
41 equal to the initial proposed percentage increase.

42 2. Is for five years or more, the proposed increase is equal to the
43 initial proposed percentage increase in the following years of the
44 proposed increase, except that in the next to last year it is two-thirds
45 of the initial proposed percentage increase and it is one-third of the
46 initial proposed percentage increase in the last year of the proposed
47 increase.

1 Q. If the voters in a school district vote to adopt a budget in
2 excess of the revenue control limit as provided in subsection I or J of
3 this section, any additional increase shall be included in the aggregate
4 budget limit for each of the years authorized. Any additional increase
5 shall be excluded from the determination of equalization assistance. The
6 school district governing board, however, may levy on the net assessed
7 valuation used for secondary property tax purposes of the property in the
8 school district the additional increase if adopted under subsection I of
9 this section for the period of one year, two years or five through seven
10 years as authorized. If an additional increase is approved as provided in
11 subsection J of this section, the increase may only be budgeted and
12 expended if sufficient monies are available in the maintenance and
13 operation fund of the school district. If a budget increase was
14 previously authorized and will be in effect for the budget year or budget
15 year and subsequent years, as provided in subsection I or J of this
16 section, the governing board may request a new budget increase as provided
17 in the same subsection under which the prior budget increase was adopted
18 that does not exceed the maximum amount permitted under subsection K of
19 this section. If the voters in the school district authorize the new
20 budget increase amount, the existing budget increase no longer is in
21 effect. If the voters in the school district do not authorize the budget
22 increase amount, the existing budget increase remains in effect for the
23 time period for which it was authorized. The maximum additional increase
24 authorized as provided in subsection I or J of this section and the
25 additional increase that is included in the aggregate budget limit is
26 based on a percentage of a school district's revenue control limit in
27 future years, if the budget increase is authorized for more than one year.
28 If the additional increase:

29 1. Is for two years, the proposed increase in the second year is
30 equal to the initial proposed percentage increase.

31 2. Is for five years or more, the proposed increase is equal to the
32 initial proposed percentage increase in the following years of the
33 proposed increase, except that in the next to last year it is two-thirds
34 of the initial proposed percentage increase and it is one-third of the
35 initial proposed percentage increase in the last year of the proposed
36 increase.

37 R. If the voters in a school district vote to adopt a budget in
38 excess of district additional assistance as provided in subsection L of
39 this section, any additional increase shall be included in the aggregate
40 budget limit for each of the years authorized. The additional increase
41 shall be excluded from the determination of equalization assistance. The
42 school district governing board, however, may levy on the net assessed
43 valuation used for secondary property tax purposes of the property in the
44 school district the additional increase for the period authorized but not
45 to exceed ten years. For overrides approved by a vote of the qualified
46 electors of the school district at an election held from and after

1 October 31, 1998, the period of the additional increase prescribed in this
2 subsection shall not exceed seven years for any capital override election.

3 S. If the voters in a school district vote to adopt a budget in
4 excess of district additional assistance as provided in subsection M of
5 this section, any additional increase shall be included in the aggregate
6 budget limit for each of the years authorized. The additional increase
7 shall be excluded from the determination of equalization assistance. The
8 school district governing board may only use revenues derived from the
9 school district's prior year's maintenance and operation fund ending cash
10 balance and capital outlay fund ending cash balance to fund the additional
11 increase for the period authorized but not to exceed ten years. For
12 overrides approved by a vote of the qualified electors of the school
13 district at an election held from and after October 31, 1998, the period
14 of the additional increase prescribed in this subsection shall not exceed
15 seven years for any capital override election.

16 T. In addition to subsections P and S of this section, from the
17 maintenance and operation fund and capital outlay fund ending cash
18 balances, the school district governing board shall first use any
19 available revenues to reduce its primary tax rate to zero and shall use
20 any remaining revenues to fund the additional increase authorized as
21 provided in subsections F and M of this section.

22 U. If the voters in a school district disapprove the proposed
23 budget, the alternate budget that, except for any budget increase
24 authorized by a prior election, does not include an increase in the budget
25 in excess of the amount provided in section 15-905 shall be adopted by the
26 governing board as provided in section 15-905.

27 V. The governing board may request that any override election be
28 cancelled if any change in chapter 9 of this title changes the amount of
29 the aggregate budget limit as provided in section 15-905. The request to
30 cancel the override election shall be made to the county school
31 superintendent at least eighty days before the date of the scheduled
32 override election.

33 W. For any election conducted pursuant to subsection L or M of this
34 section:

35 1. The ballot shall include the following statement in addition to
36 any other statement required by this section:

37 The capital improvements that are proposed to be funded
38 through this override election are to exceed the state
39 standards and are in addition to monies provided by the state.

40 _____ school district is proposing to increase its
41 budget by \$_____ to fund capital improvements over and
42 above those funded by the state. Under the students first
43 capital funding system, _____ school district is entitled
44 to state monies for new construction and renovation of school
45 buildings in accordance with state law.

1 2. The ballot shall contain the words "budget increase, yes" and
2 "budget increase, no", and the voter shall signify the voter's desired
3 choice.

4 3. At least eighty-five days before the election, the school
5 district shall submit proposed ballot language to the director of the
6 Arizona legislative council. The director of the Arizona legislative
7 council shall review the proposed ballot language to determine whether the
8 proposed ballot language complies with this section. If the director of
9 the Arizona legislative council determines that the proposed ballot
10 language does not comply with this section, the director, within ten
11 calendar days after receiving the proposed ballot language, shall notify
12 the school district of the director's objections, and the school district
13 shall resubmit revised ballot language to the director for approval.

14 X. If the voters approve the budget increase pursuant to subsection
15 L or M of this section, the school district shall not use the override
16 proceeds for any purposes other than the proposed capital improvements
17 listed in the informational pamphlet, except that up to ten percent of the
18 override proceeds may be used for general capital expenses, including cost
19 overruns of proposed capital improvements.

20 Y. Each school district that currently increases its budget
21 pursuant to this section shall hold a public meeting each year between
22 September 1 and October 31 at which an update of the programs or capital
23 improvements financed through the override is discussed and at which the
24 public is allowed an opportunity to comment and:

25 1. If the increase is pursuant to subsection L or M of this
26 section, at a minimum, the update shall include the progress of capital
27 improvements financed through the override, a comparison of the current
28 status and the original projections on the construction of capital
29 improvements, the costs of capital improvements and the costs of capital
30 improvements in progress or completed since the prior meeting and the
31 future capital plans of the school district. The school district shall
32 include in the public meeting a discussion of the school district's use of
33 state capital aid and voter-approved bonding in funding capital
34 improvements, if any.

35 2. If the increase is pursuant to subsection E, F, I or J of this
36 section, the update shall include at a minimum the amount expended in the
37 previous fiscal year and the amount included in the current budget for
38 each of the purposes listed in the informational pamphlet prescribed by
39 subsection B of this section.

40 Z. If a budget in excess of district additional assistance was
41 previously adopted by the voters in a school district and will be in
42 effect for the budget year or budget year and subsequent years, as
43 provided in subsection L or M of this section, the governing board may
44 request an additional budget in excess of district additional assistance.
45 If the voters in a school district authorize the additional budget in
46 excess of district additional assistance, the existing district additional
47 assistance budget increase remains in effect.

1 AA. Notwithstanding any other law, the maximum budget increase that
2 may be authorized pursuant to subsection L or M of this section is ten
3 percent of the school district's revenue control limit.

4 BB. If the election is to continue to exceed the revenue control
5 limit and if the proposed override will be fully funded by a continuation
6 of a levy of taxes on the taxable property in the school district, the
7 ballot shall contain the words "budget override continuation, yes" and
8 "budget override continuation, no", and the voter shall signify the
9 voter's desired choice. The ballot shall also contain the amount of the
10 proposed continuation of the budget increase of the proposed budget over
11 the alternate budget, a statement that the amount of the proposed increase
12 will be based on a percentage of the school district's revenue control
13 limit in future years, if applicable, as provided in subsection P of this
14 section and the following statement:

15 Any budget increase continuation authorized by this
16 election shall be entirely funded by a levy of taxes on the
17 taxable property in this school district for the year for
18 which adopted and for _____ subsequent years, shall not be
19 realized from monies furnished by the state and shall not be
20 subject to the limitation on taxes specified in article IX,
21 section 18, Constitution of Arizona. Based on the current net
22 assessed valuation used for secondary property tax purposes,
23 to fund the proposed continuation of the increase in the
24 school district's budget would require an estimated
25 continuation of a tax rate of \$_____ per \$100 of
26 assessed valuation used for secondary property tax purposes
27 and is in addition to the school district's tax rate that will
28 be levied to fund the school district's revenue control limit
29 allowed by law.

30 CC. If the election is to continue to exceed the revenue control
31 limit as provided in section 15-482 and if the proposed override will be
32 fully funded by a continuation of a levy of taxes on the taxable property
33 in the school district, the ballot shall contain the words "budget
34 override continuation, yes" and "budget override continuation, no", and
35 the voter shall signify the voter's desired choice. The ballot shall also
36 contain the amount of the proposed continuation of the budget increase of
37 the proposed budget over the alternate budget, a statement that the amount
38 of the proposed increase will be based on a percentage of the school
39 district's revenue control limit in future years, if applicable, as
40 provided in subsection P of this section and the following statement:

41 Any budget increase continuation authorized by this
42 election shall be entirely funded by a levy of taxes on the
43 taxable property in this school district for the year for which
44 adopted and for _____ subsequent years, shall not be realized
45 from monies furnished by the state and shall not be subject to
46 the limitation on taxes specified in article IX, section 18,
47 Constitution of Arizona. Based on the current net assessed

1 valuation used for secondary property tax purposes, to fund the
2 proposed continuation of the increase in the school district's
3 budget would require an estimated continuation of a tax rate of
4 \$_____ per \$100 of net assessed valuation used for
5 secondary property tax purposes and is in addition to the
6 school district's tax rate that will be levied to fund the
7 school district's revenue control limit allowed by law.

8 Sec. 2. Section 15-491, Arizona Revised Statutes, is amended to
9 read:

10 15-491. Elections on school property; exceptions

11 A. The governing board of a school district may, and on petition of
12 fifteen percent of the school electors as shown by the poll list at the
13 last preceding annual school election shall, call an election for the
14 following purposes:

15 1. To locate or change the location of school buildings.

16 2. To purchase or sell school sites or buildings or sell school
17 sites pursuant to section 15-342 or to build school buildings, but the
18 authorization by vote of the school district shall not necessarily specify
19 the site to be purchased.

20 3. To decide whether the bonds of the school district shall be
21 issued and sold for the purpose of raising monies for purchasing or
22 leasing school lots, for building or renovating school buildings, for
23 supplying school buildings with furniture, equipment and technology, for
24 improving school grounds, for purchasing pupil transportation vehicles or
25 for liquidating any indebtedness already incurred for such purposes.
26 Bonds issued for furniture, equipment and technology, other than fixtures,
27 shall mature not later than the July 1 that follows the fifth year after
28 the bonds were issued. A school district shall not issue class B bonds
29 until the school district has obligated in contract the entire proceeds of
30 any class A bonds issued by the school district. The total amount of
31 class A and class B bonds issued by a school district shall not exceed the
32 debt limitations prescribed in article IX, sections 8 and 8.1,
33 Constitution of Arizona.

34 4. To lease for twenty or more years, as lessor or as lessee,
35 school buildings or grounds. Approval by a majority of the school
36 district electors voting authorizes the governing board to negotiate for
37 and enter into a lease. The ballot shall list the school buildings or
38 grounds for which a lease is sought. If the governing board does not
39 enter into a lease of twenty or more years of the school buildings or
40 grounds listed on the ballot within twenty years after the date of the
41 election and the board continues to seek such a lease, the governing board
42 shall call a special election to reauthorize the board to negotiate for
43 and to enter into a lease of twenty or more years.

44 5. To change the list of capital projects or the purposes
45 authorized by prior voter approval to issue bonds.

1 6. To extend from six to ten years the time period to issue class B
2 bonds authorized in 2009 or earlier. Elections pursuant to this paragraph
3 may not be held later than the sixth November after the election approving
4 the issuance of the bonds.

5 B. A petition is not required for holding the first election to be
6 held in a joint common school district for any of the purposes specified
7 in subsection A of this section. The certification of election results
8 required by section 15-493 shall be made to the board of supervisors of
9 the jurisdictional county.

10 C. When the election is called to determine whether or not bonds of
11 the school district shall be issued and sold for the purposes enumerated
12 in the call for the election, the question shall be submitted to the vote
13 of the qualified electors of the school district as defined in section
14 15-401 and subject to section 15-402.

15 D. The governing board shall order the election to be held and the
16 election notice and procedures to be conducted in the manner prescribed in
17 title 35, chapter 3, article 3. If a petition for an election has been
18 filed with the governing board as provided in subsection A of this
19 section, the board shall act on the petition within sixty days by ordering
20 the election to be held as provided in this subsection. If a school
21 district bond election is scheduled for the same date a school district
22 will hold an override election, the governing body shall deliver a copy of
23 the notice of election and ballot to the county school superintendent who
24 shall include the notice of election and ballot with the informational
25 pamphlet and ballot prepared for the override election. Mailing of the
26 information required for both the override and bond elections shall
27 constitute compliance with the notice provisions of this section.

28 E. The elections to be held pursuant to this section shall only be
29 held on dates prescribed by section 16-204, except that elections held
30 pursuant to this section to decide whether class B bonds shall be issued,
31 or any other obligation incurred that will require the assessment of
32 secondary property taxes, shall only be held on the first Tuesday after
33 the first Monday of November.

34 F. Subsection A, paragraph 2 of this section does not apply to the
35 sale of school property if the market value of the school property is less
36 than \$50,000.

37 G. Bond counsel fees, financial advisory fees, printing costs and
38 paying agent and registrar fees for bonds issued pursuant to an election
39 under this section shall be paid from either the amount authorized by the
40 qualified electors of the school district or current operating funds.
41 Bond election expenses shall be paid from current operating funds only.

42 H. For any election conducted to decide whether class B bonds will
43 be issued pursuant to this section:

1 1. Except as provided in paragraph 2 of this subsection, the ballot
2 shall include the following statement:

3 The capital improvements that are proposed to be funded
4 through this bond issuance are to exceed the state standards
5 and are in addition to monies provided by the state.

6 _____ school district is proposing to issue class B
7 general obligation bonds totaling \$_____ to fund capital
8 improvements over and above those funded by the state. Under
9 the students first capital funding system, _____ school
10 district is entitled to state monies for new construction and
11 renovation of school buildings in accordance with state law.

12 2. For a school district that is a career technical education
13 district, the ballot shall include the following statement:

14 _____, a career technical education district, is
15 proposing to issue class B general obligation bonds totaling
16 \$_____ to fund capital improvements at a campus owned or
17 operated and maintained by the career technical education
18 district.

19 3. The ballot shall conform to the requirements of title 35,
20 chapter 3, article 3.

21 4. At least eighty-five days before the election, the school
22 district shall submit proposed ballot language to the county school
23 superintendent and the director of the Arizona legislative council. The
24 director of the Arizona legislative council shall review the proposed
25 ballot language to determine whether the proposed ballot language complies
26 with this section. If the director of the Arizona legislative council
27 determines that the proposed ballot language does not comply with this
28 section, the director, within ten calendar days after receiving the
29 proposed ballot language, shall notify the school district and the county
30 school superintendent of the director's objections, and the school
31 district shall resubmit revised ballot language to the director for
32 approval.

33 5. Not later than thirty-five days before a class B bond election
34 conducted pursuant to this section, the school district shall mail an
35 informational pamphlet prepared by the county school superintendent to
36 each household that contains a qualified elector in the school
37 district. The informational pamphlet shall contain, at a minimum, the
38 following information:

39 (a) An executive summary of the school district's most recent
40 capital plan submitted to the school facilities oversight board.

41 (b) A complete list of each proposed capital improvement that will
42 be funded with the proceeds of the bonds and a description of the proposed
43 cost of each improvement, including a separate aggregation of capital
44 improvements for administrative purposes as defined by the school
45 facilities oversight board.

1 (c) The tax rate associated with each of the proposed capital
2 improvements and the estimated cost of each capital improvement for the
3 owner of a single family home that is valued at \$100,000 AND [~~\$400,000~~]
4 [~~\$300,000~~].

5 I. For any election conducted to decide whether impact aid revenue
6 bonds shall be issued pursuant to this section:

7 1. The ballot shall include the following statement:

8 The capital improvements that are proposed to be funded
9 through this bond issuance are to exceed the state standards
10 and are in addition to monies provided by the state.

11 _____ school district is proposing to issue impact
12 aid revenue bonds totaling \$_____ to fund capital
13 improvements over and above those funded by the state. Under
14 the students first capital funding system, _____ school
15 district is entitled to state monies for new construction and
16 renovation of school buildings in accordance with state law.

17 2. The ballot shall contain the words "bond approval, yes" and
18 "bond approval, no", and the voter shall signify the voter's desired
19 choice.

20 3. At least eighty-five days before the election, the school
21 district shall submit proposed ballot language to the director of the
22 legislative council. The director of the legislative council shall review
23 the proposed ballot language to determine whether the proposed ballot
24 language complies with this section. If the director of the legislative
25 council determines that the proposed ballot language does not comply with
26 this section, the director, within ten calendar days after receiving the
27 proposed ballot language, shall notify the school district of the
28 director's objections, and the school district shall resubmit revised
29 ballot language to the director for approval.

30 4. Not later than thirty-five days before an impact aid revenue
31 bond election conducted pursuant to this section, the school district
32 shall mail an informational pamphlet prepared by the county school
33 superintendent to each household that contains a qualified elector in the
34 school district. The informational pamphlet shall contain, at a minimum,
35 the following information:

36 (a) The date of the election.

37 (b) The voter's polling place and the times it is open.

38 (c) An executive summary of the school district's most recent
39 capital plan submitted to the school facilities oversight board.

40 (d) A complete list of each proposed capital improvement that will
41 be funded with the proceeds of the bonds and a description of the proposed
42 cost of each improvement, including a separate aggregation of capital
43 improvements for administrative purposes as defined by the school
44 facilities oversight board.

45 (e) A statement that impact aid revenue bonds will be fully funded
46 by aid that the school district receives from the federal government and
47 do not require a levy of taxes in the district.

1 (f) A statement that if the bonds are approved, the first priority
2 for the impact aid will be to pay the debt service for the bonds and that
3 other uses of the monies are prohibited until the debt service obligation
4 is met.

5 (g) A statement that if the impact aid revenue bonds are approved,
6 the school district shall not issue or sell class B bonds while the
7 district has existing indebtedness from impact aid revenue bonds, except
8 for bonds issued to refund any bonds issued by the board.

9 J. If the voters approve the issuance of school district class B
10 bonds or impact aid revenue bonds, the school district shall not use the
11 bond proceeds for any purposes other than the proposed capital
12 improvements listed in the informational pamphlet, except that up to ten
13 percent of the bond proceeds may be used for general capital expenses,
14 including cost overruns of proposed capital improvements. The proposed
15 capital improvements may be changed by a subsequent election as provided
16 by this section.

17 K. Each school district that issues bonds under this section shall
18 hold a public meeting each year between September 1 and October 31, until
19 the bond proceeds are spent, at which an update of the progress of capital
20 improvements financed through bonding is discussed and at which the public
21 is allowed an opportunity to comment. At a minimum, the update shall
22 include a comparison of the current status and the original projections on
23 the construction of capital improvements, the costs of capital
24 improvements and the costs of capital improvements in progress or
25 completed since the prior meeting and the future capital bonding plans of
26 the school district. The school district shall include in the public
27 meeting a discussion of the school district's use of state capital aid and
28 voter-approved capital overrides in funding capital improvements, if any.

29 L. If an election is held to change the purpose or list of capital
30 projects authorized by prior voter approval to issue bonds pursuant to
31 subsection A, paragraph 5 of this section, the following requirements
32 apply:

33 1. The election may be held only on the first Tuesday after the
34 first Monday in November.

35 2. Not later than thirty-five days before the election, the school
36 district shall mail an informational pamphlet prepared by the county
37 school superintendent to each household in the school district that
38 contains a qualified elector. The informational pamphlet shall contain,
39 at a minimum, the following information:

40 (a) The date of the election.

41 (b) The voter's polling place and the times it is open.

42 (c) A statement as to why the election was called.

43 (d) A complete list of each proposed capital improvement that is in
44 addition to the initial capital improvements presented in the
45 informational pamphlet when the bonds were approved and the proposed cost
46 of each improvement, including a separate aggregation of capital

1 improvements for administrative purposes as defined by the school
2 facilities oversight board.

3 (e) A complete list of each capital improvement that was presented
4 in the informational pamphlet when the bonds were initially approved and
5 that is proposed to be eliminated or to have its cost reduced, and the
6 proposed cost of each improvement, including a separate aggregation of
7 capital improvements for administrative purposes as defined by the school
8 facilities oversight board.

9 (f) Arguments for and against the proposed change, if submitted, as
10 provided by section 15-481, subsection B, paragraph 9. The ballot
11 arguments for the proposed change shall be signed as the governing board
12 of the school district without listing any member's individual name for
13 the arguments for the proposed change.

14 3. The ballot shall contain the words "change capital improvements,
15 yes" and "change capital improvements, no", and the voter shall signify
16 the voter's desired choice.

17 4. If the election is to add a purpose that was not on the initial
18 ballot, the ballot shall list the purpose that is proposed to be added.

19 M. If an election is held to extend the time to issue bonds
20 pursuant to subsection A, paragraph 6 of this section, the following
21 requirements apply:

22 1. The election may be held only on the first Tuesday after the
23 first Monday in November.

24 2. Not later than thirty-five days before the election, the school
25 district shall mail an informational pamphlet prepared by the county
26 school superintendent to each household in the school district that
27 contains a qualified elector. The informational pamphlet shall contain,
28 at a minimum, the following information:

29 (a) The date of the election.

30 (b) The voter's polling place and the times it is open.

31 (c) A statement as to why the election was called.

32 (d) Arguments for and against the proposed change, if submitted, as
33 provided in section 15-481, subsection B, paragraph 9. The ballot
34 arguments for the proposed change shall be signed as the governing board
35 of the school district without listing any member's individual name for
36 the arguments for the proposed change.

37 3. The ballot shall contain the words "extend time to issue bonds,
38 yes" and "extend time to issue bonds, no", and the voter shall signify the
39 voter's desired choice.

40 Sec. 3. Section 15-905.01, Arizona Revised Statutes, is amended to
41 read:

42 15-905.01. Truth in taxation; calculation; notice and
43 hearing; vote on tax increase

44 A. Each school district shall determine its truth in taxation base
45 limit for expenditures as follows:

46 1. Determine the amounts budgeted in fiscal year 1999-2000 for
47 expenditures in the following categories:

1 (a) Desegregation pursuant to section 15-910.

2 (b) Dropout prevention programs.

3 (c) Career and technical education and vocational education center
4 operations pursuant to section 15-910.01.

5 (d) Small school adjustments pursuant to section 15-949.

6 2. The sum of the expenditures in paragraph 1 of this subsection
7 for fiscal year 1999-2000 shall become the truth in taxation base limit.

8 3. For any year after fiscal year 1999-2000, a school district
9 whose aggregate budgeted expenditures for the expenditures prescribed in
10 paragraph 1 of this subsection exceed the truth in taxation base limit
11 shall publish a truth in taxation hearing notice that meets the
12 requirements of subsection B of this section. If the amount exceeding the
13 previous truth in taxation base limit is approved by the school district
14 governing board following the hearing prescribed in subsection B of this
15 section, the excess amount plus the previous truth in taxation base limit
16 becomes the school district's new truth in taxation base limit.

17 4. If a school district no longer qualifies for one or more of the
18 expenditures prescribed in paragraph 1 of this subsection, the amount
19 budgeted for the most recent fiscal year in which the school district was
20 eligible for that expenditure shall be deducted from the school district's
21 truth in taxation base limit.

22 B. For any fiscal year in which a school district governing board
23 budgets an amount that is higher than the truth in taxation base limit
24 calculated pursuant to subsection A of this section, any fiscal year in
25 which a school district levies any amount for adjacent ways pursuant to
26 section 15-995 or any fiscal year in which the school district levies any
27 amount for liabilities in excess of the school district budget pursuant to
28 section 15-907:

29 1. The school district shall publish a notice that meets the
30 following requirements:

31 (a) The notice shall be published once in a newspaper of general
32 circulation in the school district. The publication shall be at least ten
33 but not more than twenty days before the date of the hearing.

34 (b) The notice shall be published in a location other than the
35 classified or legal advertising section of the newspaper in which it is
36 published.

37 (c) The notice shall be at least one-fourth page in size and shall
38 be surrounded by a solid black border at least one-eighth inch in width.

39 (d) The notice shall be in the following form, excluding the
40 parenthetical explanations, and with the "truth in taxation
41 hearing - notice of tax increase" headline in at least eighteen-point
42 type:

43 Truth in Taxation Hearing

44 Notice of Tax Increase

45 In compliance with section 15-905.01, Arizona Revised
46 Statutes, _____ school district is notifying its property
47 taxpayers of _____ school district's intention to raise

1 its primary property taxes over the current level to pay for
2 increased expenditures in those areas where the governing
3 board has the authority to increase property taxes for the
4 fiscal year beginning July 1, _____. The _____ school
5 district is proposing an increase in its primary property tax
6 levy of \$_____ (amount of levy increase to pay for truth
7 in taxation base increase, the amount of the total levy for
8 the adjacent ways fund and amounts for liabilities in excess
9 of the school district budget pursuant to section 15-907).

10 The amount proposed above will cause _____ school
11 district's primary property taxes on a \$100,000 ~~AND [\$400,000]~~
12 ~~[\$300,000]~~ home to be \$_____ ~~AND \$_____~~,
13 ~~RESPECTIVELY~~ (the amount used to pay for the budget year's
14 proposed truth in taxation base limit and adjacent ways levy,
15 including adjacent ways and liabilities in excess of the
16 school district budget [the amount divided by the current net
17 assessed value available February 10 pursuant to section
18 42-17052] applied to \$100,000 ~~AND [\$400,000]~~
19 ~~[\$300,000]~~). Without the tax increase, the total taxes that
20 would be owed would have been \$_____ ~~AND \$_____~~,
21 ~~RESPECTIVELY~~ (the amount used to pay for the current year's
22 truth in taxation base limit [the amount divided by the
23 current net assessed value available February 10 pursuant to
24 section 42-17052] applied to \$100,000 ~~AND [\$400,000]~~
25 ~~[\$300,000]~~).

26 These amounts proposed are above the qualifying tax
27 levies as prescribed by state law, if applicable. The
28 increase is also exclusive of any changes that may occur from
29 property tax levies for voter approved bonded indebtedness or
30 budget and tax overrides.

31 All interested citizens are invited to attend the public
32 hearing on the proposed tax increase scheduled to be held
33 (date and time) at (location).

34 2. In lieu of publishing the truth in taxation notice, the
35 governing board may mail the truth in taxation notice prescribed by
36 paragraph 1, subdivision (d) of this subsection to all registered voters
37 in the district at least ten but not more than twenty days before the date
38 of the hearing.

39 3. In addition to publishing the truth in taxation notice under
40 paragraph 1 of this subsection or mailing the notice under paragraph 2 of
41 this subsection, the governing board shall issue a press release
42 containing the truth in taxation notice to all newspapers of general
43 circulation in the school district.

44 4. The governing board shall consider a motion to levy the
45 increased property taxes by roll call vote.

1 5. Within three days after the hearing, the governing board shall
2 mail a copy of the truth in taxation notice, a statement of its
3 publication or mailing and the result of the governing board's vote under
4 paragraph 4 of this subsection to the property tax oversight commission
5 established by section 42-17002.

6 6. The governing board shall hold the truth in taxation hearing on
7 or before the adoption of the school district budget under section 15-905.

8 7. Expenditures for adjacent ways and liabilities in excess of the
9 school district budget do not become part of the school district's truth
10 in taxation base limit.

11 C. The department of education shall maintain a listing of each
12 school district's truth in taxation base limit and shall verify the
13 accuracy of the school district's computations. A school district
14 governing board shall notify the department of education of any change in
15 the district's truth in taxation base limit.

16 D. The department of education shall develop a budget form for
17 school districts to show the primary tax rate associated for each of the
18 expenditure categories mentioned in subsection A, paragraph 1 of this
19 section and for expenditures for adjacent ways pursuant to section 15-995
20 or any other expenditure in excess of the school district budget pursuant
21 to section 15-907. A school district shall make this information
22 available to the general public at truth in taxation hearings and shall
23 submit the information to the department of education.

24 Sec. 4. Section 15-1461.01, Arizona Revised Statutes, is amended to
25 read:

26 15-1461.01. Truth in taxation notice and hearing; roll call
27 vote on tax increase; definition

28 A. On or before February 10 of the tax year, the county assessor
29 shall transmit and certify to the property tax oversight commission and to
30 the district governing board the total net assessed values that are
31 required to compute the levy limit prescribed by section 42-17051. If the
32 proposed primary property tax levy, excluding amounts that are
33 attributable to new construction, is greater than the amount levied in the
34 preceding tax year by the district:

35 1. The district governing board shall publish a notice that meets
36 all of the following requirements:

37 (a) Is published twice in a newspaper of general circulation in the
38 district. The first publication shall be at least fourteen but not more
39 than twenty days before the date of the hearing. The second publication
40 shall be at least seven but not more than ten days before the date of the
41 hearing.

42 (b) Is published in a location other than the classified or legal
43 advertising section of the newspaper in which it is published.

44 (c) Is at least one-fourth page in size and is surrounded by a
45 solid black border at least one-eighth inch in width.

1 (d) Is in the following form, with the "truth in taxation
2 hearing-notice of tax increase" headline in at least eighteen-point type:

3 Truth in Taxation Hearing

4 Notice of Tax Increase

5 In compliance with section 15-1461.01, Arizona Revised
6 Statutes, (name of community college district) is notifying
7 its property taxpayers of (name of community college
8 district's) intention to raise its primary property taxes over
9 last year's level. The (name of community college district)
10 is proposing an increase in primary property taxes of
11 \$_____ or ____%.

12 For example, the proposed tax increase will cause (name
13 of community college district's) primary property taxes on a
14 \$100,000 AND ~~[\$400,000]~~ [\$300,000] home to be \$(total proposed
15 taxes including the tax increase) AND \$(TOTAL PROPOSED TAXES
16 INCLUDING THE TAX INCREASE), RESPECTIVELY. Without the
17 proposed tax increase, the total taxes that would be owed on a
18 \$100,000 AND ~~[\$400,000]~~ [\$300,000] home would have been \$____
19 AND \$____, RESPECTIVELY.

20 This proposed increase is exclusive of increased primary
21 property taxes received from new construction. The increase
22 is also exclusive of any changes that may occur from property
23 tax levies for voter approved bonded indebtedness or budget
24 and tax overrides.

25 All interested citizens are invited to attend the public
26 hearing on the tax increase that is scheduled to be held
27 (date and time) at (location).

28 (e) Is included in the proposed budget and in the budget finally
29 adopted pursuant to section 15-1461.

30 2. In lieu of publishing the truth in taxation notice, the district
31 board may mail the truth in taxation notice prescribed by paragraph 1,
32 subdivision (d) of this subsection to all registered voters in the
33 district at least ten but not more than twenty days before the date of the
34 hearing.

35 3. In addition to publishing the truth in taxation notice under
36 paragraph 1 of this subsection or mailing the notice under paragraph 2 of
37 this subsection, the district governing board shall issue a press release
38 containing the truth in taxation notice to all newspapers of general
39 circulation in the district. The press release must:

40 (a) Include the name of the newspaper of general circulation in
41 which the truth in taxation notice will be published and the dates on
42 which the truth in taxation notice will be published.

43 (b) Be posted on the official website of the community college
44 district.

45 4. The district board shall consider a motion to levy the increased
46 property taxes by roll call vote. If the proposed levy, exclusive of
47 increased property taxes received from new construction, constitutes an

1 increase over the preceding tax year's levy by fifteen percent or more,
2 the motion to levy the increased property taxes must be approved by a
3 unanimous roll call vote of the district board.

4 5. Within three days after the hearing, the district board shall
5 mail a copy of the truth in taxation notice, a statement of its
6 publication or mailing and the result of the district board's vote under
7 paragraph 4 of this subsection to the property tax oversight commission
8 established by section 42-17002.

9 6. The district board shall hold the truth in taxation hearing on
10 or before the adoption of the county, city or town budget under section
11 42-17105.

12 B. If the governing board fails to comply with the requirements of
13 this section, the governing board shall not fix, levy or assess an amount
14 of primary property taxes that exceeds the preceding year's amount, except
15 for amounts attributable to new construction.

16 C. For the purposes of this section, "amount attributable to new
17 construction" means the net assessed valuation of property added to the
18 tax roll since the previous year multiplied by a property tax rate
19 computed by dividing the district's primary property tax levy in the
20 preceding year by the estimate of the district's total net assessed
21 valuation for the current year, excluding the net assessed valuation
22 attributable to new construction.

23 Sec. 5. Section 35-454, Arizona Revised Statutes, is amended to
24 read:

25 35-454. Informational pamphlet for bond election; review;
26 ballot; election; return; canvass of votes;
27 certificate of election

28 A. The governing body or board of the political subdivision shall:

29 1. At least thirty-five days before the bond election, mail a copy
30 of an informational pamphlet to every household within the political
31 subdivision that contains a registered voter. The pamphlet shall contain
32 information on the:

33 (a) Amount of the bond authorization.

34 (b) Maximum interest rate of the bonds.

35 (c) Estimated debt retirement schedule for the current amount of
36 bonds outstanding, showing both principal and interest payments, the
37 current net assessed valuation as reported by the department of revenue
38 and the current adopted and estimated tax rates. For the purposes of this
39 paragraph, "net assessed valuation" may include the values used to
40 determine voluntary contributions collected pursuant to title 9, chapter
41 4, article 3 and title 48, chapter 1, article 8.

42 (d) Estimated debt retirement schedule for the proposed bond
43 authorization, showing both the estimated principal and interest payments
44 and the estimated average annual tax rate for the proposed bond
45 authorization. In preparing this information and the information
46 prescribed by subdivision (c) of this paragraph, the projected total

1 annual increase in net assessed valuation for any future year shall not
2 exceed:

3 (i) For the first five years of the estimated debt retirement
4 schedule, the average of the annual percentage growth for the previous ten
5 years in the net assessed valuation of the political subdivision.

6 (ii) For the remaining years of the estimated debt retirement
7 schedule, twenty percent of the average of the annual percentage growth
8 for the previous ten years in the net assessed valuation of the political
9 subdivision.

10 (e) Source of repayment.

11 (f) Estimated issuance costs.

12 (g) Estimated tax impact of debt service for the bonds on an
13 owner-occupied residence classified as class three pursuant to section
14 42-12003, on commercial property classified as class one pursuant to
15 section 42-12001, paragraph 12 and on agricultural or other vacant
16 property classified as class two pursuant to section 42-12002, assuming
17 the net assessed valuation of the property increases annually at the
18 lesser of five percent or fifty percent of the projected total annual
19 increase in net assessed valuation as determined pursuant to subdivision
20 (d) of this paragraph over the term of the bonds using the same average
21 annual tax rate as under subdivision (d) of this paragraph, as follows:

22 The tax impact over the term of the bonds on an
23 owner-occupied residence valued by the county assessor at
24 \$250,000 AND ~~[\$400,000]~~ **[\$300,000]** is estimated to be \$___ per
25 year for ___ years, or \$___ total cost AND \$___ PER YEAR FOR
26 ___ YEARS, OR \$___ TOTAL COST, RESPECTIVELY.

27 The tax impact over the term of the bonds on commercial
28 property valued by the county assessor at \$1,000,000 AND
29 \$2,000,000 is estimated to be \$___ per year for ___ years, or
30 \$___ total cost AND \$___ PER YEAR FOR ___ YEARS, OR \$___
31 TOTAL COST, RESPECTIVELY.

32 The tax impact over the term of the bonds on
33 agricultural or other vacant property valued by the county
34 assessor at \$100,000 is estimated to be \$___ per year for ___
35 years, or \$___ total cost.

36 (h) In ~~bold-faced~~ **BOLDFACE** type, estimated total cost of the
37 proposed bond authorization, including principal and interest.

38 (i) Current outstanding general obligation debt and constitutional
39 debt limitation.

40 (j) Projects and expenditures for which the bonds are to be issued.
41 The purpose statement shall only present factual information in a neutral
42 manner. Advocacy for the expenditures is strictly limited to the
43 arguments submitted pursuant to subdivision (n) of this paragraph.

44 (k) Purpose for which the bonds are to be issued and, if
45 applicable, in ~~bold-faced~~ **BOLDFACE** type, that the amount of the proposed
46 bond authorization combined with the current outstanding debt exceeds the
47 political subdivision's constitutional debt limit.

1 (l) Polling location for the addressee.
2 (m) Hours during the day when the polls will be open.
3 (n) Arguments for and against the authorization of one or more of
4 the bond propositions. Each argument filed shall contain the sworn
5 statement of the person submitting it. If the argument is submitted by an
6 organization, it shall contain the sworn statement of two executive
7 officers of the organization. If the argument is submitted by a political
8 committee, it shall contain the sworn statement of the committee's
9 chairperson or treasurer. If the argument is submitted by an individual
10 and not on behalf of an organization, a political committee or any other
11 group, the person shall submit the argument with a sworn, notarized
12 statement. The names of persons and entities submitting written arguments
13 shall be included in the informational pamphlet. Persons signing the
14 argument shall identify themselves by giving their residence address and
15 telephone number, which may not appear in the informational pamphlet,
16 except that the person's city or town and state of residence shall appear
17 in the pamphlet. Any argument that is submitted and that does not comply
18 with this subdivision may not be included in the pamphlet.

19 2. Set a deadline to submit arguments for and against the
20 authorization of one or more of the bond propositions at a public meeting
21 and publish the deadline in a newspaper of general circulation in the
22 jurisdiction of the political subdivision.

23 B. The failure of any one or more electors to receive the
24 informational pamphlet shall not be grounds to invalidate the election.
25 The election shall conform with the general election laws of this state.
26 The return of the election held in a county shall be made to the board of
27 supervisors and, in any other case, to the governing body or board of the
28 municipal corporation or district within twelve days after the election.

29 C. For any proposed general obligation bond authorization for which
30 the principal and interest will be paid by a levy of property taxes, the
31 ballot shall contain the phrase **IN BOLDFACE TYPE** "the issuance of these
32 bonds will result in a property tax increase sufficient to pay the annual
33 debt service on bonds". Any written information provided by the political
34 subdivision pertaining to the bond election shall include financial
35 information showing the estimated average tax rate for the proposed bond
36 authorization. If the bonds are to be repaid with secondary property
37 taxes, the ballot shall contain the words "bond approval, yes" and "bond
38 approval, no", and the voter shall signify the voter's desired choice.
39 The ballot shall also contain the following statement:

40 A "yes" vote shall authorize the _____ governing body
41 to issue and sell \$_____ of _____ bonds of the district to
42 be repaid with secondary property taxes.

43 A "no" vote shall not authorize the _____ governing
44 body to issue and sell such bonds of the district.

1 D. If the governing body intends to use revenues other than
2 property taxes to pay the debt on proposed general obligation bonds, the
3 ballot shall contain the phrase "the issuance of these bonds will result
4 in a property tax increase sufficient to pay the annual debt service on
5 bonds, unless the governing body provides for payment from other sources".

6 E. The board of supervisors, governing body or governing board
7 shall hold a special meeting within twenty days after the election to
8 canvass the votes cast and certify the result. The certificate of the
9 result shall be prima facie evidence of full performance of all conditions
10 and requirements precedent to holding the election.

11 F. The governing board or body shall file and record in the office
12 of the county recorder a certificate disclosing the purpose of the
13 election, the total number of votes cast and the total number of votes for
14 and against creating the indebtedness, and stating whether or not the
15 indebtedness is ordered. On filing and recording the certificate, the
16 governing board or body shall carry out the purpose of the election.

17 G. Variations between the estimates required by subsection A of
18 this section and the actual debt retirement schedules, issuance costs,
19 annual and total costs and tax rates shall not invalidate either the
20 election or the bonds.

21 Sec. 6. Section 41-1276, Arizona Revised Statutes, is amended to
22 read:

23 41-1276. Truth in taxation levy for equalization assistance
24 to school districts

25 A. On or before February 15 of each year, the joint legislative
26 budget committee shall compute and transmit the truth in taxation rates
27 for equalization assistance for school districts for the following fiscal
28 year to:

29 1. The chairpersons of the house of representatives ways and means
30 committee and the senate finance committee, or their successor committees.

31 2. The chairpersons of the appropriations committees of the senate
32 and the house of representatives, or their successor committees.

33 B. The truth in taxation rates consist of the qualifying tax rate
34 for a high school district or a common school district within a high
35 school district that does not offer instruction in high school subjects
36 pursuant to section 15-971, subsection B, paragraph 1 and a qualifying tax
37 rate for a unified district, a common school district not within a high
38 school district or a common school district within a high school district
39 that offers instruction in high school subjects pursuant to section
40 15-971, subsection B, paragraph 2 that will offset the change in net
41 assessed valuation of property that was subject to tax in the prior year.

1 C. The joint legislative budget committee shall compute the truth
2 in taxation rates as follows:

3 1. Determine the statewide net assessed value for the preceding tax
4 year as provided in section 42-17151, subsection A, paragraph 3.

5 2. Determine the statewide net assessed value for the current tax
6 year, excluding the net assessed value of property that was not subject to
7 tax in the preceding year.

8 3. Divide the amount determined in paragraph 1 of this subsection
9 by the amount determined in paragraph 2 of this subsection.

10 4. Adjust the qualifying tax rates for the current fiscal year by
11 the percentage determined in paragraph 3 of this subsection in order to
12 offset the change in net assessed value.

13 D. Except as provided in subsections E and G of this section, the
14 qualifying tax rate for a high school district or a common school district
15 within a high school district that does not offer instruction in high
16 school subjects and the qualifying tax rate for a unified school district,
17 a common school district not within a high school district or a common
18 school district within a high school district that offers instruction in
19 high school subjects for the following fiscal year shall be the rate
20 determined by the joint legislative budget committee pursuant to
21 subsection C of this section. The committee shall transmit the rates to
22 the superintendent of public instruction and the county boards of
23 supervisors by March 15 of each year.

24 E. If the legislature proposes qualifying tax rates that exceed the
25 truth in taxation rate:

26 1. The house of representatives ways and means committee and the
27 senate finance committee, or their successor committees, shall hold a
28 joint hearing on or before February 28 and publish a notice of a truth in
29 taxation hearing subject to the following requirements:

30 (a) The notice shall be published twice in a newspaper of general
31 circulation in this state that is published at the state capital. The
32 first publication shall be at least fourteen but not more than twenty days
33 before the date of the hearing. The second publication shall be at least
34 seven but not more than ten days before the date of the hearing.

35 (b) The notice shall be published in a location other than the
36 classified or legal advertising section of the newspaper.

37 (c) The notice shall be at least one-fourth page in size and shall
38 be surrounded by a solid black border at least one-eighth inch in width.

39 (d) The notice shall be in the following form, with the "truth in
40 taxation hearing — notice of tax increase" headline in at least
41 eighteen-point type:

Truth in Taxation Hearing

Notice of Tax Increase

In compliance with section 41-1276, Arizona Revised Statutes, the state legislature is notifying property taxpayers in Arizona of the legislature's intention to raise the property tax levy over last year's level.

The proposed tax increase will cause the taxes on a \$100,000 AND ~~[\$400,000]~~ [\$300,000] home to be \$(total proposed taxes including the tax increase) AND \$(TOTAL PROPOSED TAXES INCLUDING THE TAX INCREASE), RESPECTIVELY. Without the proposed tax increase, the total taxes that would be owed on a \$100,000 AND ~~[\$400,000]~~ [\$300,000] home would have been \$_____ AND \$_____, RESPECTIVELY.

All interested citizens are invited to attend a public hearing on the tax increase that is scheduled to be held (date and time) at (location).

(e) For the purposes of computing the tax increase on a \$100,000 AND ~~[\$400,000]~~ [\$300,000] home as required by the notice, the joint meeting of the house of representatives ways and means committee and the senate finance committee, or their successor committees, shall consider the difference between the truth in taxation rate and the proposed increased rate.

2. The joint meeting of the house of representatives ways and means committee and the senate finance committee, or their successor committees, shall consider any motion to recommend the proposed tax rates to the full legislature by roll call vote.

F. In addition to publishing the truth in taxation notice under subsection E, paragraph 1 of this section, the joint meeting of the house of representatives ways and means committee and the senate finance committee, or their successor committees, shall issue a press release containing the truth in taxation notice.

G. Notwithstanding any other law, the legislature shall not adopt a state budget that provides for qualifying tax rates pursuant to section 15-971 that exceed the truth in taxation rates computed pursuant to subsection A of this section unless the rates are adopted by a concurrent resolution approved by an affirmative roll call vote of two-thirds of the members of each house of the legislature before the legislature enacts the general appropriations bill. If the resolution is not approved by two-thirds of the members of each house of the legislature, the rates for the following fiscal year shall be the truth in taxation rates determined pursuant to subsection C of this section and shall be transmitted to the superintendent of public instruction and the county boards of supervisors.

H. Notwithstanding subsection C of this section and if approved by the qualified electors voting at a statewide general election, the legislature shall not set a qualifying tax rate that exceeds \$2.1265 for a common or high school district or \$4.253 for a unified school district.

1 The legislature shall not set a county equalization assistance for
2 education rate that exceeds \$0.5123.

3 I. Pursuant to subsection C of this section, the qualifying tax
4 rate in tax year 2025 for a high school district or a common school
5 district within a high school district that does not offer instruction in
6 high school subjects as provided in section 15-447 is \$1.5606 and for a
7 unified school district, a common school district not within a high school
8 district or a common school district within a high school district that
9 offers instruction in high school subjects as provided in section 15-447
10 is \$3.1212.

11 Sec. 7. Section 42-17107, Arizona Revised Statutes, is amended to
12 read:

13 42-17107. Truth in taxation notice and hearing; roll call
14 vote on tax increase; definition

15 A. On or before February 10 of the tax year, the county assessor
16 shall transmit and certify to the property tax oversight commission and to
17 the governing body of the county, city or town the total net assessed
18 values that are required to compute the levy limit prescribed by section
19 42-17051. If the proposed primary property tax levy, excluding amounts
20 that are attributable to new construction, is greater than the amount
21 levied by the county, city or town in the preceding tax year in the
22 county, city or town:

23 1. The governing body shall publish a notice that meets all of the
24 following requirements:

25 (a) Is published twice in a newspaper of general circulation in the
26 county, city or town. The first publication shall be at least fourteen
27 but not more than twenty days before the date of the hearing. The second
28 publication shall be at least seven but not more than ten days before the
29 date of the hearing.

30 (b) Is published in a location other than the classified or legal
31 advertising section of the newspaper in which it is published.

32 (c) Is at least one-fourth page in size and is surrounded by a
33 solid black border at least one-eighth inch in width.

34 (d) Is in the following form, with the "truth in taxation hearing
35 notice of tax increase" headline in at least eighteen-point type:

36 Truth in Taxation Hearing

37 Notice of Tax Increase

38 In compliance with section 42-17107, Arizona Revised
39 Statutes, (name of county, city or town) is notifying its
40 property taxpayers of (name of county, city or town)'s
41 intention to raise its primary property taxes over last year's
42 level. (name of county, city or town) is proposing an
43 increase in primary property taxes of \$_____ or ____%.

44 For example, the proposed tax increase will cause (name
45 of county, city or town)'s primary property taxes on a
46 \$100,000 AND [~~\$400,000~~] [~~\$300,000~~] home to be \$(total proposed
47 taxes including the tax increase) AND \$(TOTAL PROPOSED TAXES

1 INCLUDING THE TAX INCREASE), RESPECTIVELY. Without the
2 proposed tax increase, the total taxes that would be owed on a
3 \$100,000 AND ~~[\$400,000]~~ [\$300,000] home would have been \$____
4 AND \$____, RESPECTIVELY.

5 This proposed increase is exclusive of increased primary
6 property taxes received from new construction. The increase
7 is also exclusive of any changes that may occur from property
8 tax levies for voter approved bonded indebtedness or budget
9 and tax overrides.

10 All interested citizens are invited to attend the public
11 hearing on the tax increase that is scheduled to be held
12 (date and time) at (location).

13 (e) Is included in the estimates of revenues and expenses pursuant
14 to section 42-17103 and in the budget finally adopted pursuant to section
15 42-17105.

16 2. In lieu of publishing the truth in taxation notice, the
17 governing body may mail the truth in taxation notice prescribed by
18 paragraph 1, subdivision (d) of this subsection to all registered voters
19 in the county, city or town at least ten but not more than twenty days
20 before the date of the hearing on the estimates pursuant to section
21 42-17104.

22 3. In addition to publishing the truth in taxation notice under
23 paragraph 1 of this subsection or mailing the notice under paragraph 2 of
24 this subsection, the governing body shall issue a press release containing
25 the truth in taxation notice. The press release must:

26 (a) Include the name of the newspaper of general circulation in
27 which the truth in taxation notice will be published and the dates on
28 which the truth in taxation notice will be published.

29 (b) Be posted on the official website of the county, city or town.

30 4. The governing body shall consider a motion to levy the increased
31 property taxes by roll call vote. If the proposed levy, exclusive of
32 increased property taxes received from new construction, constitutes an
33 increase over the preceding tax year's levy by fifteen percent or more,
34 the motion to levy the increased property taxes must be approved by a
35 unanimous roll call vote of the governing body.

36 5. Within three days after the hearing, the governing body shall
37 mail a copy of the truth in taxation notice, a statement of its
38 publication or mailing and the result of the governing body's vote under
39 paragraph 4 of this subsection to the property tax oversight commission.

40 6. The governing body shall hold the truth in taxation hearing on
41 or before the adoption of the county, city or town budget under section
42 42-17105.

43 B. If the governing body fails to comply with the requirements of
44 this section, the governing body shall not fix, levy or assess an amount
45 of primary property taxes that exceeds the preceding year's amount, except
46 for amounts attributable to new construction.

1 C. For the purposes of this section, "amount attributable to new
2 construction" means the net assessed valuation of property added to the
3 tax roll since the previous year multiplied by a property tax rate
4 computed by dividing the primary property tax levy of the county, city or
5 town in the preceding year by the estimate of the total net assessed
6 valuation of the county, city or town for the current year, excluding the
7 net assessed valuation attributable to new construction.

8 Sec. 8. Section 48-254, Arizona Revised Statutes, is amended to
9 read:

10 48-254. Truth in taxation notice and hearing; roll call vote
11 on tax increase; definition

12 A. On or before February 10 of the tax year, the county assessor
13 shall transmit and certify to the property tax oversight commission and to
14 the governing body of each county flood control district, county free
15 library district, county jail district and public health services district
16 the total net assessed values that are required to compute the levy
17 prescribed by sections 48-3620, 48-3903, 48-4023, 48-4023.01 and 48-5805.
18 If the proposed secondary property tax levy of the special taxing
19 district, excluding amounts attributable to new construction, is greater
20 than the amount levied by the special taxing district in the preceding tax
21 year:

22 1. The governing body shall publish a notice that meets all of the
23 following requirements:

24 (a) Is published twice in a newspaper of general circulation in the
25 county. The first publication shall be at least fourteen but not more
26 than twenty days before the date of the hearing. The second publication
27 shall be at least seven but not more than ten days before the date of the
28 hearing.

29 (b) Is published in a location other than the classified or legal
30 advertising section of the newspaper in which it is published.

31 (c) Is at least one-fourth page in size and is surrounded by a
32 solid black border at least one-eighth inch in width.

33 (d) Is in the following form, with the "truth in taxation
34 hearing-notice of tax increase" headline in at least eighteen-point type:

35 Truth in Taxation Hearing

36 Notice of Tax Increase

37 In compliance with section 48-254, Arizona Revised
38 Statutes, (name of special taxing district) is notifying its
39 property taxpayers of (name of special taxing district)'s
40 intention to raise its secondary property taxes over last
41 year's level. (name of special taxing district) is proposing
42 an increase in secondary property taxes of \$_____ or
43 ____%.

44 For example, the proposed tax increase will cause (name
45 of special taxing district)'s secondary property taxes on a
46 \$100,000 AND ~~[\$400,000]~~ [\$300,000] home to be \$(total proposed
47 taxes including the tax increase) AND \$(TOTAL PROPOSED TAXES

1 INCLUDING THE TAX INCREASE), RESPECTIVELY. Without the
2 proposed tax increase, the total taxes that would be owed on a
3 \$100,000 AND [~~\$400,000~~ [~~\$300,000~~] home would have been
4 \$_____ AND \$_____. RESPECTIVELY.

5 This proposed increase is exclusive of increased
6 secondary property taxes received from new construction. The
7 increase is also exclusive of any changes that may occur from
8 property tax levies for voter-approved bonded indebtedness.

9 All interested citizens are invited to attend the public
10 hearing on the tax increase that is scheduled to be held
11 (date and time) at (location).

12 (e) Is included in the proposed budget and in the budget finally
13 adopted pursuant to section 48-252.

14 2. Instead of publishing the truth in taxation notice, the
15 governing body may mail the truth in taxation notice prescribed by
16 paragraph 1, subdivision (d) of this subsection to all registered voters
17 in the special taxing district at least ten but not more than twenty days
18 before the date of the hearing on the estimates pursuant to section
19 42-17104.

20 3. In addition to publishing the truth in taxation notice under
21 paragraph 1 of this subsection or mailing the notice under paragraph 2 of
22 this subsection, the governing body shall issue a press release containing
23 the truth in taxation notice. The press release must:

24 (a) Include the name of the newspaper of general circulation in
25 which the truth in taxation notice will be published and the dates on
26 which the truth in taxation notice will be published.

27 (b) Be posted on the official website of the special taxing
28 district.

29 4. The governing body may only consider a motion to levy the
30 increased property taxes by roll call vote.

31 5. Within three days after the hearing, the governing body shall
32 mail a copy of the truth in taxation notice, as a statement of its
33 publication or mailing, and the result of the governing body's vote under
34 paragraph 4 of this subsection to the property tax oversight commission.

35 6. The governing body shall hold the truth in taxation hearing
36 concurrently with the adoption of the county budget under section
37 42-17105.

38 B. If the governing body fails to comply with the requirements of
39 this section, the governing body may not fix, levy or assess an amount of
40 secondary property taxes that exceeds the preceding year's amount, except
41 for amounts attributable to new construction.

1 C. For the purposes of this section, "amounts attributable to new
2 construction" means the net assessed valuation of property added to the
3 tax roll since the previous year multiplied by a property tax rate
4 computed by dividing the secondary property tax levy of the special taxing
5 district in the preceding year by the estimate of the total net assessed
6 valuation of the special taxing district for the current year, excluding
7 the net assessed valuation attributable to new construction.

8 Enroll and engross to conform

9 Amend title to conform

JUSTIN OLSON

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